

The Complete Financial Guide for Young Couples

is encourage debt. Debt is a great temptation that is virtually irresistible without stern control, as thousands of divorced young couples will attest.

My record for teenage credit card debt was set by a young woman about 18 when she went off to college at a state university, fresh out of a Christian school.

Her father didn't want her to get caught without money should her car break down, so he arranged to have a credit card issued in her name. Unfortunately, she had no experience with such devices and misused the card a little. In fact, she became the most popular girl on campus because she loaned her card out liberally.

At the end of her second month of college, the bills began to appear on the statement, which came to her parents' home. Her father obviously thought the bills were a mistake and wrote the credit card company, complaining.

When this father, a financial planner, found out what his daughter had done, he canceled her card—but not before she had allowed \$11,000 to be charged on her credit card. It's no smarter to give a teenager a credit card without training than it is to give a baby a hand grenade. Eventually they will both discover what it was made to do, with about the same effect.

(5) *Personal expenses.* The question is often asked, "Should we charge our children for their room and board if they're working?" This is a matter of judgment on the part of the parents. In general, I believe you should not charge a high-school-age child room and board. Obviously, the needs of the family must be taken into consideration. If a financial need exists, it may be necessary for teenagers to contribute to the family's income. I have seen many such situations and rarely witnessed a detrimental effect on the child. In fact, usually the exact opposite was true, and the teenager reflected maturity far beyond his or her peers.

A widow named Pam was left with three children ages 10, 12, and 16 when her husband committed suicide while suffering with terminal cancer. Because of the suicide, his insurance was voided and she received virtually nothing. She had few